TRANSACTION PRESSURE CARD

Penske Automotive Group, Inc. (public unaffiliated stockholders) / Motown Acquisition Corp. AUDIT ID: AUDIT-PENS-MOTO-20261021-REV1

01. MATERIAL PRESSURE & CLOSING IMPEDIMENTS

Penske Automotive Group, Inc. (NYSE: PAG) faces structural vulnerability in its proposed take-private transaction by Motown Acquisition Corp. (64% Penske Corporation, 36% Mitsui & Co.). The transaction relies on a bifurcated stockholder approval structure where the Kahn v. M&F Worldwide Corp. (MFW) minority cleansing prong is contractually defined as 'a majority of the votes cast by the disinterested stockholders (as defined in Section 144 of the DGCL)' rather than a majority of all outstanding unaffiliated shares. This votes-cast formulation creates an identifiable litigation target under Delaware Chancery Court entire fairness jurisprudence, compounded by an 8.6% premium over the pre-announcement unaffected price ($212.00 cash vs. $210.00 initial bid, $195.21 unaffected baseline). Concurrently, closing is conditioned on securing complex OEM change-of-control consents across global franchise networks and executing debt backstops for a $502.7M mandatory 101% par Change-of-Control Put on PAG's 3.75% Senior Subordinated Notes due 2029.

02. PRESSURE PROPAGATION CASCADE (VECTOR PATHWAY)

TRIGGER

Stockholder litigation filing in the Delaware Court of Chancery alleging failure to satisfy the strict dual-procedural prerequisites of MFW due to the adoption of a 'majority of votes cast' standard rather than a majority of all outstanding unaffiliated public shares, alongside activist public 'vote-no' / bumpitrage mobilization targeting the 18,007,168-share minority float.

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AMPLIFIER

The consortium's 72.6% beneficial ownership lock-up and concurrent Support Agreements pre-empt third-party alternative bids, while PAG's operational stability depends on clearing OEM franchise change-of-control consents (e.g., BMW, Porsche, Freightliner) and executing the Thirteenth Amendment to the U.S. Credit Agreement, which conditions $900.0M of upsized revolver capacity and a $400.0M Overadvance line on the concurrent funding of at least $2.2B in sponsor equity.

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MECHANISM

Delaware plaintiff challenges MFW applicability based on the 'votes cast' minority approval mechanic, moving for expedited discovery and entire fairness review.

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EXPOSURE

Institutional minority holders (representing portions of the 18.0M unaffiliated shares) organize a proxy opposition campaign, leveraging the low threshold to defeat the deal under the 'majority of votes cast' mechanic.

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CONSEQUENCE

Potential loss of the business judgment rule protection if the Delaware Court of Chancery rules that a 'majority of votes cast' standard does not satisfy Kahn v. M&F Worldwide Corp. prerequisites, restoring the entire fairness standard of review and exposing controlling stockholders and Special Committee members to substantive valuation scrutiny and disclosure-based liability.

03. QUANTIFIED TRANSACTION & BALANCE SHEET EXPOSURES

EXPOSURE CATEGORY	SPECIFIC CONDITION / BALANCE	LEVERAGE & SOURCE
Litigation Exposure under Delaware MFW Review Standard	Delaware Chancery Court ruling denying business judgment review and subjecting transaction to entire fairness.	Leverage: 8.5/10 - Owner: Legal
Change-of-Control Put Liability on 3.75% Notes	Failure of Buyer to deliver executed credit agreements backstopping $502.7M par liability 30 days prior to vote.	Leverage: 7/10 - Owner: Credit
Non-Captive OEM Change-of-Control Consents	Receipt of formal notice of franchise termination or ROFR exercise from an OEM representing >10% of dealership revenue.	Leverage: 6.5/10 - Owner: Legal

04. CONTRACTUAL PRESSURE & COVENANT CLIFFS

- Operative Outside Closing Date (Credit Agreement Alignment): Contractual Outside Date established as October 15, 2027. U.S. Credit Agreement 13th Amendment conditions lender consent on closing within five business days of Outside Date.
- Majority-of-the-Minority Disinterested Approval Standard: Under Section 1.01, approval conditioned on majority of 'votes cast by disinterested stockholders' (DGCL 144) rather than outstanding unaffiliated shares, permitting passage on 15% public float under low turnout.
- Captive OEM Lender Consents & Overadvance Capacity: Limited Consent and 13th Amendment with Mercedes-Benz Financial, Toyota Motor Credit, and Daimler Truck Financial permits $1.8B bridge debt and up to $400M in uncollateralized Overadvance.

05. UNRESOLVED TRANSACTION STATE // INFORMATION GAP REGISTER

Confirmation of written consents and operational ROFR waivers across PAG's 368 retail automotive dealerships and 45 commercial truck centers (BMW, Freightliner).

PRIMARY RISK

THE MERGER AGREEMENT DEFINES THE KAHN V. M&F WORLDWIDE CORP. MINORITY APPROVAL CONDITION AS A MAJORITY OF 'VOTES CAST BY DISINTERESTED STOCKHOLDERS' RATHER THAN A MAJORITY OF ALL 'OUTSTANDING UNAFFILIATED SHARES', INTRODUCING SUBSTANTIAL MATHEMATICAL SENSITIVITY TO VOTER TURNOUT AND EXPOSING THE

CONFIDENCE: MEDIUM

EVIDENCE BASE: DYNAMIC SEC EDGAR INGESTION